

JUDGMENT SHEET
IN THE LAHORE HIGH COURT, LAHORE
JUDICIAL DEPARTMENT

I.T.R No.186/2016

Commissioner Inland Revenue

Versus

Security General Insurance Company Limited.

J U D G M E N T

Date of Hearing.	14-03-2024
APPLICANTS BY:	M/s Shahzad Ahmad Cheema, Malik Abdullah Raza, M. Sohaib Aziz, Ahmed Pervaiz, Samar Masood Soofi and Shamsheer Ali Advocates in ITR Nos. 186/2016, 187/2016, 188/2016, 189/2016, 190/2016 and 237545/2018. M/s. Naved A. Andrabi, Khurram Saleem, M.Adeel Ch., Abdul Latif, Waheed Ahmed, Tanveer Ahmed, Rana M. Afzal Razzaq Khan, Malik M. Zarif, Hannan Masood and Qari Zuhaib ur Rehman Zubairi, Advocates in ITR Nos.237/2015, 242/2015, 240/2015, 238/2015, 241/2015 and 239/2015.
RESPONDENTS BY:	M/s. Umair Ahmad and Haris Irfan, Advocates in ITR Nos. 186/2016, 187/2016, 188/2016, 189/2016, 190/2016 and 237545/2018. M/s. Shehzad Ahmad Cheema and Malik Abdullah Raza, Advocates in ITR Nos.237/2015, 242/2015, 240/2015, 238/2015, 241/2015 and 239/2015.

Shahid Karim, J:-. This judgment will decide two set of tax references. In one, the respondents in ITR Nos.186/2016, 187/2016, 188/2016, 189/2016, 190/2016 and 237545/2018, filed an appeal to the Appellate Tribunal Inland Revenue for different tax years which engaged the same questions of law. The Members of the Tribunal had a difference of opinion and the matter was thereafter referred to a Full Bench of the Appellate Tribunal which rendered the impugned judgment dated 18.11.2015. This was necessitated on account of different set of tax references before us *viz.* ITR Nos.237/2015, 242/2015, 240/2015, 238/2015, 241/2015 and 239/2015 in which a

Division Bench of the Appellate Tribunal Inland Revenue had come to different conclusion. We take up ITR No.186/2016 and others arising out of the same impugned order of the Full Bench of the Appellate Tribunal dated 18.11.2015 firstly and the conclusion drawn would then be applicable to the other set of reference applications.

2. In conclusion, the Full Bench of the Appellate Tribunal considered that the judgment passed by the Supreme Court of Pakistan and reported as *(1997) 76 Tax 213* also reported as *Messrs E.F.U. General Insurance Co. Limited v. The Federation of Pakistan and others* (PLD 1997 SC 700) was squarely applicable to the facts of the case and determined the question of law conclusively. The Full Bench by following the holding of the Supreme Court of Pakistan decided the questions of law in favour of the respondents. The controversy revolves around the construction of Section 99 of the Income Tax Ordinance, 2001 ("**Ordinance, 2001**") which provides that:

" 99. Special provisions relating to insurance business. – The profits and gains of any insurance business shall be computed in accordance with the rules in the Fourth Schedule.."

3. The above is a special provision relating to insurance business and the taxpayers in these cases are undoubtedly carrying on insurance businesses and there is no cavil that the profits and gains of these taxpayers shall be computed in accordance with the rules in Fourth Schedule which too provides for special provisions regarding computation of

profits and gains of insurance businesses. Rule 5 is of crucial importance and provides that:

“5. The profits and gains of any business of insurance (other than life insurance) shall be taken to be the balance of the profits disclosed by the annual accounts required under the Insurance Ordinance, 2000 (XXXIX of 2000), to be furnished to the Securities and Exchange Commission of Pakistan subject to the following adjustments –

- (a) any expenditure or allowance, or any reserve or provision for any expenditure, or the amount of any tax deducted at source from dividends or profit on debt received which is not deductible in computing the income chargeable under the head “Income from Business” shall be excluded;*
- (b) subject to the provisions of rule 6A, any amount of investment written off shall be allowed as a deduction, but any amount taken to reserve to meet depreciation of investments shall not be allowed as a deduction, and any sums taken credit for in the accounts on account of appreciation of investment shall not be treated as part of the profits and gains, unless these have been crystallized as gains or losses on the realization of investments;*
- (c) no deduction shall be allowed for any expenditure, allowance, reserve, or provision in excess of the limits laid down in the Insurance Ordinance, 2000 (XXXIX of 2000), unless the excess is allowed by the Securities and Exchange Commission and is incurred in deriving income chargeable to tax;*
- (d) no deduction shall be allowed for any expenditure incurred on account of insurance premium or re-insurance premium paid to an overseas insurance or re-insurance company or a local agent of an overseas insurance company until tax at the rate of 5% is withheld on the gross amount of insurance or re-insurance premium.*

4. Learned counsel for the taxpayers/insurance businesses contends that the Fourth Schedule provides for computation of the profits and gains in terms of Rule 5 of the Fourth Schedule, yet it does not relate to determination or computation of tax liability which is a different concept.

5. Learned counsel for the Department, on the contrary, states that the judgment of the Supreme Court of Pakistan in *EFU General Insurance* is distinguishable as it is premised on the

provisions of Income Tax Ordinance, 1979 and in particular Section 26(a) which provides that:

"The profits and gains of any business of insurance and the tax payable thereon shall be computed in accordance with the rules contained in the Fourth Schedule."

6. The above provision is *in pari materia* to Section 99 with the only difference that the words "*and the tax payable thereon*" have been deleted from Section 99. This provision was subject matter of construction by *EFU General Insurance*. It may be stated that according to the taxpayers/insurance businesses in these cases, since there are no provisions regarding payment of tax and its determination in the Fourth Schedule, general provisions in the First Schedule would be applicable and the taxpayers would be entitled to the benefit regarding dividend income given in the First Schedule. On the contrary, it is case of the Department that the income of the taxpayers in these cases would have to be taken cumulatively and the tax liability determined on that basis.

7. Since the Appellate Tribunal has decided the controversy on the basis of the Supreme Court of Pakistan's judgment, we would reproduce the relevant paragraph from *EFU General Insurance* which would capture the controversy in these cases as well:

"Section 26(a) of the Ordinance, inter alia, provides that notwithstanding anything contained in the ordinance, the profits and gains of any business of insurance and the tax payable thereon shall be computed in accordance with the rules contained in the Fourth Schedule. Computation of profits and gains and computation of tax payable are two different concepts altogether. In rule 5 of the Fourth Schedule special provisions exist for computation of income

from general insurance business, but there are no provisions at all in the rule for computation of tax on such income. This could lead to two interpretations. There being no provision in the Fourth Schedule for computation of tax, such income cannot be subject to tax or, in the absence of taxing provisions, general taxing provisions contained in the First Schedule for business income of companies will apply. The intention of the Legislature is clear and that is that income from general insurance shall be subject to tax under the Income Tax Ordinance. The interpretation that such income will be tax-free is, therefore, to be rejected. Special provisions are, however silent regarding computation of tax on such income. To give effect to the intention of the Legislature and to harmonise different provisions of the Ordinance, the interpretation will be that for taxing such income the general provisions contained in the First Schedule providing for computation of tax on income of companies from business shall apply, and, while applying the provisions of the First Schedule for computation of tax on such income, if any benefit in the rate of tax is provided on any kind of income, general insurance companies cannot be deprived of such benefit in the absence of any provision that such benefit shall not be extended in respect of income from general insurance business. Admittedly, no such special provision appears in the first Schedule or in any provision of the Income Tax Law to deny the said benefit to general insurance companies. There is no provision in the Ordinance of the Schedule that only one part of the First Schedule shall apply and the other shall not in the case of general insurance companies. Benefit in the rates of tax available under the First Schedule of the Ordinance can only be denied to the general insurance companies by suitably amending the law."

8. Firstly, learned Judges of the Supreme Court of Pakistan drew a distinction between computation of profits and gains and computation of tax payable and clearly stated that these were two different concepts. This observation by the Supreme Court of Pakistan would be most relevant factor while deciding these cases as well. The Fourth Schedule refers to the computation of profits and gains but does not make any reference to the computation of tax payable in the opinion of the Supreme Court of Pakistan. If this were the case, the computation of tax liability will have to be made on the basis of the general provision of First Schedule. Clearly, First Schedule

provides a different rate of tax in respect of dividend income and if the First Schedule is to be applicable, the Department cannot be heard to argue that in respect of insurance businesses they will not be entitled to the benefit in the rate of tax provided by the First Schedule while that benefit would be applicable and extended to other similarly placed companies and taxpayers. There is no warrant for such an argument to succeed and the benefit in respect of rate of taxation has to extend of insurance businesses as well without any distinction or discrimination. Learned counsel for the Department contended that the ratio of *EFU General Insurance* would be inapplicable in view of the provisions of the Ordinance, 2001. This argument cannot prosper for the simple reason that the observations set out above in fact deal with the question of computation of tax payable in the said judgment and held that since there were no provisions in Rule 5 regarding computation of tax on such income, the provisions of First Schedule would be engaged and the benefit prescribed therein would be applicable to the case of insurance businesses as well. Therefore, although the current Section 99 does not contain the words "*and the tax payable thereon*", this would not make any difference, in that, at the relevant time to which these tax references relate there were no provisions regarding the tax payable on the business of insurance in the Fourth Schedule.

9. In view of the above, the questions of law are decided against the applicant in ITR Nos.186/2016 and 187/2016, 188/2016, 189/2016, 190/2016 and 237545/2018 and the tax references are **dismissed**. Consequently, since the same questions of law arise in ITR Nos.237/2015, 242/2015, 240/2015, 238/2015, 241/2015 and 239/2015, those questions of law are decided in favour of the applicants and these reference applications are **allowed**. The impugned order of the Appellate Tribunal is set aside. Reference applications are disposed of in the above terms.

A copy of this judgment shall be sent to the Tribunal under the seal of the Court.

(RASAAL HASAN SYED)
JUDGE

(SHAHID KARIM)
JUDGE

Approved for reporting.

JUDGE

JUDGE

Abdul Waheed